

era of constant and revolutionary scientific and technological changes and advances. Not only individual firms, but also entire industries must be judged as to their ability to keep pace with the needs of the future. The investor has to be certain that neither the products of the company in which he invests nor the particular industry itself will become obsolete in a few years.

In the early part of the century, farsighted individuals realized that automobiles had more of a future than buckboards, that automobile-tire manufacturers' stocks were better investment bets than the stocks of firms that manufactured wagon wheels.

The trolley-car industry was a good bet—until trolley cars began to be supplanted by buses. Airplane makers who insisted on producing nothing but canvas-covered planes after the day of the all-metal airplane dawned had little future. Today, the manufacturer of jet or turboprop transport planes is much more likely to be in business and make money than one, say, who insisted on turning out trimotored, piston-engined transports.

It is indeed surprising that so many investors fail to recognize business situations only slightly less obvious than these dated or farfetched examples. They will buy stocks in faltering or dying firms and industries and ignore tempting opportunities to buy into companies and industries that cannot help but burgeon as time goes on.

It follows that the investor must know as much as he possibly can about the corporation in which he buys stock. The following are some of the questions for which he should get satisfactory answers before he invests his money:

1. What is the company's history: Is it a solid and reputable firm, and does it have able, efficient and seasoned management?
2. Is the company producing or dealing in goods or services for which there will be a continuing demand in the foreseeable future?